

GIANTS OF THE GAME

The biggest players in the arena...

	AUM (₹ crore)	No. of clients
• SBI MF	11,66,762.55	812
• Nippon India	61,641.65	1,432
• Enam Asset Management	28,313.18	802
• ASK Investment Managers	24,444.74	19,976
• IIFL Asset Management	18,557.18	7,501
• White Oak Capital Management Consultants LLP	12,670.17	7,060
• Unifi Capital	12,647.16	7,591
• Marcellus Investment Managers	10,779.97	8,328
• Motilal Oswal Asset Management Company	10,212.36	13,769
• Invesco	8,483.63	1,052

TOP 10 ASSET MANAGERS BY AUM;
DATA AS ON MARCH 31, 2023; **SOURCE** PMSBAZAAR

...and the biggest schemes

Scheme	AUM (₹ crore)
• Indian Entrepreneurship Portfolio (ASK Investment Managers)	17,408.38
• Blended Rangoli (Unifi Capital)	8,351.28
• India Pioneers Equity (White Oak Capital Management)	7,650.00
• Consistent Compounders (Marcellus Investment Managers)	6,196.87
• Ntdop (Motilal Oswal AMC)	6,067.87
• Wealth Builder (Karma Capital Advisors)	3,711.00
• India Select Portfolio (ASK Investment Managers)	3,322.19
• Select Stock (Alchemy)	2,781.00
• Enam India Diversified Equity Advantage (Enam Asset Management)	2,571.14
• Growth Portfolio (ASK Investment Managers)	2,466.74

TOP 10 SCHEMES BY AUM; NAME OF COMPANY IN BRACKETS
DATA AS ON MARCH 31, 2023; **SOURCE** PMSBAZAAR

Trail commission, on the other hand, means a recurring fee to be paid to the distributor till the investments are made. Consequently, trail commission incentivises distributors to encourage investors to stay invested.

“That one set of regulations has cleaned up the PMS industry and it has gained by leaps and bounds,” says Mukherjea, who was also a part of the Sebi committee that drafted the new rules. “Earlier, the law was silent on many counts, so there was opacity on what was allowed and what was not. Hence, it was a big step. If you bring in transparency, harmonisation and clarity, then an industry can improve its performance even without any mass publicity and, in turn, drive financialisation.”

This assumes significance as many fundamental aspects were standardised with the new rules. For instance, earlier exit loads—fees paid for taking out the invested money before the stipulated period of time—were charged by PMS players on an ad-hoc basis, but the new rules capped it at 1 per cent for money withdrawn after three years; 2 per cent after two years, and 3 per cent for money withdrawn within one year.

THE OUTLOOK

Mukherjea believes that the PMS industry stands to gain as an increasing share of household savings flow into financial assets. “As per RBI data on household savings, 95 per cent of the savings are in physical assets and only 5 per cent is in financial assets. And since physical assets are not really giving any post-inflation returns, an increasing number of people are looking at products like MFs, PMS, insurance, etc., for returns,” he says.

In a similar context, Rohokale says increased financialisation of savings is happening on the ground. “As the Indian economy grows from \$3 to \$5 trillion, where will the money go? With the rise in incomes, the money will go into financial savings within which PMS is a well-established long-only product,” he says.

PMS players neither have an aggressive marketing campaign, nor a catchy jingle, but the coming years will bring them many opportunities to grow. All they have to do is play by the rules and perform their fiduciary responsibilities in the best manner possible. **BT**

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144,000
CUSTOMERS
TOTAL NUMBER OF
CLIENTS SERVICED
BY THE PMS
INDUSTRY, PER SEBI